Marketing Management - Written Exam Q&A

112 model answers by unit, with marks, marking scheme and where each question was asked

How to use: 2 marks = definition + 1 point (3-4 lines) · 3 marks = intro + 3 points · 5-6 marks = intro + 5-6 headed points + example/table · 10 marks = intro, headings, table/diagram, example, conclusion. **Stars:** *** asked in your PDFs (very likely), ** core syllabus, * possible. Answers marked [answer from standard knowledge] are not in your notes - check them with class notes.

Unit I

Q1. [2 marks] What is the marketing mix?

Core concepts · ***

The set of controllable tools a firm uses to meet customer needs: **Product, Price, Promotion and Place** (4Ps).

Example: Nike - athletic shoes, competitive prices, sponsorships, stores and website.

Marking scheme: Meaning 1.5 + example 0.5

Q2. [3 marks] List the six core concepts of marketing.

Core concepts · **

1. Customer needs and wants
2. Product or service
3. Value
4. Exchange
5. Relationships
6. Marketing mix (4Ps)

Example: Apple saw the need for a phone + music player + browser → iPhone.

Marking scheme: 6 concepts, ½ each

Q3. [6 marks] Explain the core concepts of marketing with examples.

Core concepts · ***

Concept	Meaning	Example
Needs and wants	Foundation of marketing; found through research	Apple: phone + music + browser → iPhone
Product / service	Offer meeting those needs	McDonald's range
Value	Customers pay for perceived value	BMW - prestige
Exchange	Giving something of value for a product	Amazon
Relationships	Trust and long-term loyalty	Starbucks
Marketing mix	Product, price, promotion, place	Nike

Marking scheme: 6 × 1

Q4. [10 marks] Explain the core concepts, the marketing mix and the functions of marketing.

Core concepts & functions · ***

Core concepts

Concept	Meaning	Example
Needs and wants	Foundation of marketing	Apple → iPhone
Product/service	Offer to meet needs	McDonald's menu

Value	Perceived benefit for the price	BMW prestige
Exchange	Giving value to get value	Amazon
Relationships	Trust and loyalty	Starbucks
Marketing mix	4Ps	Nike

Marketing mix - 4Ps

- Product - tangible/intangible offer
- Price - amount paid; cost, competition, demand
- Promotion - advertising, sales promotion, PR, personal selling
- Place - distribution channels, physical and online

Functions of marketing

- Gathering market information; marketing plan; product design and development
- Standardisation and grading; packaging and labelling; branding
- Customer support; pricing; promotion
- Physical distribution; transportation; storage

Role

In a firm: customer satisfaction is the key to survival and growth. In the economy: raises incomes, consumption, savings and living standards.

Marking scheme: Core concepts 3 + 4Ps 2 + functions 3 + role 2

Q5. [3 marks] Give any three definitions of marketing.

Definitions · ***

Source	Definition (short)
Philip Kotler	A social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value
Chartered Institute of Marketing	Management process responsible for identifying, anticipating and satisfying customer requirements profitably
American Marketing Association	Activity, set of institutions and processes for creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society

Marking scheme: 3 × 1

Q6. [10 marks] Explain digital marketing: meaning, benefits, channels and measurement. Compare it with green marketing.

Digital & green marketing · **

Digital marketing

Promoting products through websites, search, social media, email, video and SMS.

- Benefits: cost-effective, easy to measure, drives engagement, personalised, easy to optimise.

Channel	Key idea	Example
SEO	Rank in search (local, technical, on-page, off-page)	Local restaurant
PPC	Pay per click	Nike ads
Email	High ROI direct channel	Amazon
Social	Awareness and trust	Duolingo TikTok
Affiliate	Commission per sale	Amazon Associates

KPIs

CTR, conversion rate, website and social traffic.

Challenges

Channel proliferation, data overload, attention saturation.

Green marketing

Promotes real sustainability; the risk is greenwashing.

Marking scheme: Digital 7 + KPIs/challenges 1.5 + green comparison 1.5

Q7. [2 marks] Define digital marketing.

Digital marketing · **

Digital marketing is the use of **websites, apps, mobile devices, social media, search engines and other digital means** to promote and sell products and services. *Online marketing* (email, SEO, social ads) is a type of digital marketing.

Marking scheme: Definition 1.5 + online vs digital 0.5

Q8. [3 marks] State any three benefits of digital marketing.

Digital marketing · **

1. **Cost-effective** - small firms can compete.
2. **Easy to measure** - real-time tracking.
3. **Drives engagement** - serve customers on one platform.
4. **Personalised** through segmentation.
5. **Easy to update and optimise.**

Marking scheme: 3 × 1

Q9. [3 marks] Write short notes on SEO and PPC.

Digital marketing · **

- **SEO** - optimising a website to appear in search results; types: local, technical, on-page, off-page (backlinks).
- **PPC** / **SEM** - paid ads where you pay only when a user clicks; quick to change, trackable, targeted.

Marking scheme: Each 1.5

Q10. [6 marks] Explain the channels of digital marketing with examples and how success is measured.

Digital marketing · ***

Channel	How it works	Example
Website	Brand storefront, fast and mobile-friendly	Apple.com
SEO	Rank in search results (local, technical, on-page, off-page)	Local restaurant listing
PPC	Pay only per click	Nike on Google Ads
Content	Valuable content, product not front and centre	Red Bull media
Email	Direct, high-ROI, personalised	Amazon recommendations
Social media	Awareness and trust	Duolingo on TikTok
Affiliate	Commission per sale	Amazon Associates
Video / SMS	Tutorials; promotions by text	Sephora; Domino's

Measurement (KPIs): click-through rate, conversion rate, social and website traffic.

Marking scheme: Channels 4.5 + KPIs 1.5

Q11. [2 marks] What is standardisation and grading?

Functions · **

- **Standardisation** - producing goods to predetermined standards of quality, price and packaging for uniformity.
- **Grading** - classifying products into classes by quality, size, weight (e.g. agricultural products), which helps realise better prices for better quality.

Marking scheme: Each 1

Q12. [5 marks] Explain any five functions of marketing.

Functions · **

1. **Gathering market information** to identify needs.
2. **Marketing planning** to reach objectives (e.g. +20% market share).
3. **Product design and development** as per customer needs.
4. **Standardisation and grading** for uniform quality.
5. **Packaging and labelling** to protect and identify.
6. **Branding** to differentiate.
7. **Pricing, promotion, distribution, transport and storage**.

Marking scheme: 5 × 1

Q13. [6 marks] Explain the functions of marketing.

Functions · ***

Group	Functions
Planning and research	Gathering market information, marketing plan, product design and development
Product-related	Standardisation and grading, packaging and labelling, branding
Exchange	Pricing, promotion (advertising, personal selling, sales promotion, publicity)
Physical distribution	Distribution, transportation, storage / warehousing
Service	Customer support - after-sales service, complaints

Marking scheme: 12 functions, ½ each

Q14. [2 marks] What is greenwashing?

Green marketing · ***

Making environmental claims that are **false, exaggerated or unsubstantiated** to appear sustainable.

Example: Kohl's and Walmart paid a US$5.5M FTC penalty (2022) for labelling rayon textiles as eco-friendly bamboo.

Marking scheme: Meaning 1.5 + example 0.5

Q15. [3 marks] State any three benefits of green marketing.

Green marketing · **

1. **Appeals to a new market** of eco-conscious consumers.
2. **Increases brand loyalty and profitability** for first movers.
3. **Lowers overhead costs** through energy, water and waste savings.
4. **Helps the environment** and slows climate change.

Marking scheme: 3 benefits × 1

Q16. [6 marks] What is green marketing? Explain its strategies and the risk of greenwashing.

Green marketing · ***

Green (eco) marketing promotes products as sustainable alternatives; part of ESG practice.

Strategies

- Sustainable products and materials
- Responsible waste disposal

- Electronic marketing (less print)
- Renewable energy practices
- Emission-minded shipping
- Green alliances and community investment

Greenwashing

False or unproven claims → fines and lost trust (Kohl's and Walmart US$5.5M).

Best practice

Substantiate every claim; make impact checkable (QR codes, carbon labels).

Example: Tata Nexon EV, SBI paperless banking, Patagonia.

Marking scheme: Meaning 1 + strategies 2.5 + greenwashing 1.5 + practice 1

Q17. [5 marks] Explain the importance of marketing management.

Importance · ***

1. Identifies customer needs and guides product development.
2. Builds brand image, reputation and loyalty.
3. Increases sales and revenue.
4. Helps select target markets and understand competitors.
5. Determines pricing, promotion and distribution strategies.
6. Provides competitive advantage and helps adapt to change.
7. Measures effectiveness of marketing efforts and manages risk.
8. Creates long-term value for the business.

Marking scheme: 5 points × 1

Q18. [2 marks] Define marketing.

Introduction · ***

Marketing is the process of **identifying, anticipating and satisfying customer needs and wants profitably** through the creation, promotion and distribution of products and services.

Kotler: "a social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value with others."

Marking scheme: Definition 1.5 + author 0.5

Q19. [2 marks] What is marketing management?

Introduction · **

Marketing management is the functional area of management concerned with **planning, organising, directing and controlling** the activities related to marketing of goods and services to satisfy customers' wants.

- Process: choose a target market → create demand → create superior value.

Marking scheme: Definition 1.5 + process 0.5

Q20. [10 marks] Define marketing. Explain the nature, scope and importance of marketing management.

Introduction · ***

Introduction

Marketing is identifying, anticipating and satisfying customer needs profitably (Kotler: social process of exchange of value).

Nature

- Key business function creating and capturing value
- Both art and science; proactive and reactive
- Customer-focused, data-driven and dynamic
- Applies to profit and non-profit organisations

Scope

- Market understanding, product development, branding
- Pricing, promotion, distribution, sales
- CRM, research, segmentation, positioning
- International marketing, innovation, social responsibility

Importance

- Identifies needs; builds brand and loyalty
- Raises sales; supports pricing and promotion decisions
- Gives competitive advantage; creates long-term value

Marketing vs selling

Marketing starts before production, is customer-oriented and long-term; selling starts after production and is sales-volume oriented.

Example: Amazon uses customer data to personalise recommendations.

Marking scheme: Intro 1 + nature 2.5 + scope 2.5 + importance 2 + example/conclusion 2

Q21. [3 marks] What are the steps in the process of marketing management?

Management process · **

1. **Choosing a target market.**
2. **Creating demand** for the product.
3. **Creating superior value** for customers.

Marketing management plans, organises, directs and controls these activities to satisfy customers' wants.

Marking scheme: 3 steps × 1

Q22. [3 marks] State the advantages and disadvantages of the marketing (modern) concept.

Marketing concept · ***

Advantages	Disadvantages
Higher customer satisfaction	Costly market research
Improved brand image	Risk of over-emphasising customer needs at the expense of profit
Increased sales and long-term profitability	Difficult to implement - needs a change of mindset

Marking scheme: 3 + 3 points (½ each)

Q23. [2 marks] State any two differences between marketing and selling.

Marketing vs selling · ***

Marketing	Selling
Starts before production	Starts after production
Profit through customer satisfaction	Profit through sales volume

Marking scheme: 2 × 1

Q24. [3 marks] Distinguish between marketing and selling (any three points).

Marketing vs selling · ***

Basis	Marketing	Selling
Focus	Customer needs	Seller's needs
Starts	Before production	After production

Orientation	Customer oriented	Product oriented
Profit through	Customer satisfaction	Sales volume
Perspective	Long-term, macro	Short-term, micro

Marking scheme: 3 points × 1

Q25. [5 marks] Distinguish between marketing and selling with examples.

Marketing vs selling · ***

Basis	Marketing	Selling
Focus	Customers' needs	Sellers' needs
Begins	Before production (planning and development)	After production (sale of goods)
Orientation	Customer oriented	Product oriented
Profit	Through consumer satisfaction	Through sales volume
Attitude	Seller beware	Buyer beware
Approach	Macro (whole system)	Micro
Time	Long-term perspective	Short-term perspective

Example: A skincare start-up redesigning products from monthly feedback (marketing) vs a door-to-door vacuum seller using pressure (selling).

Marking scheme: 5 points × 1

Q26. [10 marks] Distinguish between marketing and selling. Explain how the two are related and which philosophies treat selling as the main task.

Marketing vs selling · ***

Introduction

Selling and sales promotion are integral parts of marketing but they are not everything; marketing is the broader term.

Differences

Basis	Marketing	Selling
Focus	Customers' needs	Sellers' needs
Starts	Before production	After production
Activities	Product planning and development	Sale of goods
Orientation	Customer oriented	Product oriented
Profit through	Consumer satisfaction	Sales volume
Attitude	Seller beware	Buyer beware
Approach	Macro	Micro
Perspective	Long-term	Short-term

Relationship

- Selling is one function within the marketing mix (promotion).
- Marketing starts with research and ends with after-sales service and relationships.

Philosophies

The **selling concept** assumes consumers will not buy enough unless pushed; the marketing and societal concepts start from customer needs.

Example: Insurance sales (selling) vs Amazon's customer-data approach (marketing).

Marking scheme: Intro 1 + table 5 + relationship 2 + philosophies 1 + example 1

Q27. [2 marks] Why is marketing called both an art and a science?

Nature of marketing · **

- **Art** - needs creativity, communication and judgement to understand and influence people.
- **Science** - uses research, data, analysis and tested strategies.

Marking scheme: Each 1

Q28. [3 marks] Explain any three features of marketing.

Nature of marketing · ***

1. **Needs and wants** - the focus is satisfaction of consumers' needs and wants.
2. **Market offering** - a complete offer (size, quality, price, availability).
3. **Customer value** - customers buy on the value they perceive.
4. **Exchange** - parties give something of value to obtain a product.

Marking scheme: 3 features × 1

Q29. [6 marks] Explain the nature of marketing.

Nature of marketing · ***

1. **Key business function** that creates and captures value.
2. **Customer-focused** - identifies needs and wants and builds long-term relationships.
3. **Not just selling** - includes research, product development, pricing, promotion and distribution.
4. **Both an art and a science** - creativity plus analysis.
5. **Proactive and reactive** - creates demand and responds to it.
6. **Dynamic** - evolves with technology and consumer behaviour.
7. **Universal** - applies to goods, services, ideas, persons; profit and non-profit bodies.
8. **Data-driven** and continuously evaluated.
9. **Linked with other functions** - finance, sales, operations.

Example: Netflix personalises artwork and recommendations from viewing data.

Marking scheme: 6 features × 1

Q30. [2 marks] What is the production concept? Give an example.

Orientations · ***

The production concept assumes consumers prefer products that are **widely available and inexpensive**; management focuses on production and distribution efficiency and economies of scale.

Example: Henry Ford's Model T; McDonald's standardised production.

Marking scheme: Meaning 1 + example 1

Q31. [2 marks] What is the societal marketing concept?

Orientations · ***

Marketing strategy should deliver value to customers while preserving or enhancing the **long-term well-being of consumers and society**, balancing **profit, consumer wants and public interest** (People, Planet, Profit).

Example: Patagonia, The Body Shop, TOMS Shoes "One for One".

Marking scheme: Meaning 1.5 + example 0.5

Q32. [3 marks] Compare the production, product and selling concepts.

Orientations · ***

Basis	Production	Product	Selling
Assumption	Consumers want available, cheap goods	Consumers want quality and innovation	Consumers must be persuaded

Focus	Volume and cost	Quality	Promotion and push
Example	Ford, McDonald's	Apple	Insurance, Amway

Marking scheme: 3 rows × 1

Q33. [3 marks] State the advantages and disadvantages of the production concept.

Orientations · **

Advantages	Disadvantages
Lower costs through economies of scale	Lack of innovation
Consistent products	Poor customer service
High volume and market share	Ignores changing customer needs

Marking scheme: 3 + 3 points (½ each)

Q34. [5 marks] Explain the production, product and selling concepts with advantages and disadvantages.

Orientations · ***

Concept	Idea	Advantages	Disadvantages
Production	Consumers prefer cheap, available goods; economies of scale	Low cost, consistency, high volume	No innovation, poor service
Product	Consumers prefer highest quality and innovation	Satisfaction, innovation, loyalty	High R&D cost, ignores price/ service, risk of failure
Selling	Consumers will not buy enough unless pushed	Maximises sales, action-focused	Short-term, no customer focus, pressure

Example: Ford (production), Apple (product), insurance and Amway (selling).

Marking scheme: 3 concepts × 1.5 + example 0.5

Q35. [6 marks] Explain the five orientations of marketers towards the marketplace.

Orientations · ***

Concept	Focus	Means	Ends	Example
Production	Quantity	Availability and affordable prices	Profit via volume	Ford, McDonald's
Product	Quality	Product improvement	Profit via quality	Apple
Selling	Existing product	Selling and promotion	Profit via sales volume	Insurance
Marketing	Customer needs	Integrated marketing	Profit via satisfaction	Amazon
Societal	Customer + society	Integrated marketing	Profit via satisfaction and welfare	Patagonia

Most successful modern firms blend the marketing concept with societal responsibility.

Marking scheme: 5 concepts × 1 + conclusion 1

Q36. [6 marks] Explain the societal marketing concept. State its advantages and disadvantages.

Orientations · ***

Strategy should create value for customers while enhancing long-term well-being of consumers and society - **People, Planet, Profit**.

Advantages

- Builds brand reputation and loyalty.
- Competitive differentiation and long-term profitability.
- Attracts socially conscious customers; better employee morale.
- Lower reputational and regulatory risk.

Disadvantages

- Costly and time-consuming.
- Impact is complex and hard to measure.
- Company and society goals may conflict.
- Risk of being seen as inauthentic.

Example: Patagonia, TOMS Shoes, Unilever, The Body Shop.

Marking scheme: Meaning 1.5 + advantages 2 + disadvantages 1.5 + example 1

Q37. [10 marks] Explain the orientations of marketers towards the market place in detail with advantages, disadvantages and examples.

Orientations · ***

Five philosophies shape how an organisation thinks, sells and creates value.

Concept	Core belief	Advantages	Disadvantages	Example
Production	Cheap and available	Low cost, volume	No innovation, poor service	Ford, McDonald's
Product	Best quality	Innovation, loyalty	High cost, ignores needs	Apple, Tesla
Selling	Must be pushed	Higher sales	Short-term, pressure	Insurance, Amway
Marketing	Customer needs first	Satisfaction, loyalty	Costly research	Amazon, Zappos
Societal	Customer + society	Reputation, trust	Cost, complexity	Patagonia, TOMS

Comparison basis

	Production	Product	Selling	Marketing	Societal
Starting point	Factory	Factory	Factory	Market	Market & society
Focus	Quantity	Quality	Existing product	Customer needs	Needs + welfare

Conclusion: modern firms blend marketing with societal concern.

Marking scheme: Table 5 + comparison 2 + intro/conclusion 3

Q38. [3 marks] Explain the role of marketing in a firm and in the economy.

Role · **

1. **In a firm** - helps achieve objectives; customer satisfaction is the key to survival and growth; decides what products to offer.
2. **In the economy** - aids development, raises standard of living, increases incomes, consumption, savings and investment.

Marking scheme: Firm 1.5 + economy 1.5

Q39. [5 marks] Explain the scope of marketing management.

Scope · ***

1. Understanding the market, customers and competition.
2. Product development and branding.
3. Pricing, promotion and distribution decisions.
4. Sales management, forecasting and CRM.
5. Marketing research and segmentation / positioning.
6. International marketing and innovation.
7. Reputation, public relations and social responsibility.
8. Strategic planning aligned with organisational goals.

Marking scheme: 5 points × 1

Q40. [10 marks] Explain the modern marketing concept and the societal marketing concept. How do they differ from the selling concept?

Societal & modern marketing · **

Basis	Selling concept	Modern marketing concept	Societal concept
Starting point	Factory	Market	Market and society
Focus	Existing product, push	Customer needs	Needs + welfare of society
Means	Aggressive promotion	Integrated marketing	Integrated, ethical marketing
Ends	Profit via sales volume	Profit via satisfaction	Profit via satisfaction and welfare
Time view	Short-term	Long-term relationships	Long-term, sustainable

Modern marketing - key elements

- Customer orientation, integrated communications, personalisation, relationship building, continuous improvement, data-driven.

Societal marketing

People, planet, profit; merits: reputation, loyalty, risk reduction; demerits: cost, complexity, risk of inauthenticity.

Example: Amazon (marketing), Patagonia and TOMS (societal), insurance push-sales (selling).

Marking scheme: Table 4 + modern 2 + societal 2.5 + examples 1.5

Unit II

Q41. [2 marks] What are the null and alternative hypotheses?

Analysis · **

- **Null hypothesis (H_0)** - no effect or difference; observations are due to chance.
- **Alternative hypothesis (H_1)** - there is an effect; observations have a non-random cause.

Marking scheme: Each 1

Q42. [6 marks] Explain hypothesis testing and the tests used in marketing research.

Analysis · **

A statistical hypothesis is an assumption about a population parameter, tested on sample data.

1. Formulate H_0 and H_1.
2. Identify the test statistic.
3. Formulate the decision rule (region of acceptance).
4. Accept or reject H_0.

Test	Use
Z-test	Large sample ($n \geq 30$)
t-test	Small sample ($n < 30$)
F-test / ANOVA	Compare means of 2+ groups
χ^2 (Chi-square)	Significance of association in cross-tabs

Marking scheme: Concept 1 + steps 2 + tests 3

Q43. [2 marks] Define consumer behaviour.

Consumer behaviour · ***

Consumer behaviour is the study of how individuals, groups or households **select, buy, use and dispose** of products and services - the psychological, social and economic drivers behind every purchase decision.

Marking scheme: Definition 2

Q44. [2 marks] What is cognitive dissonance?

Consumer behaviour · **

The **doubt or discomfort a buyer feels after a purchase** about whether the right decision was made. Marketers reduce it through warranties and after-sales communication.

Example: Second-guessing an expensive mattress purchase.

Marking scheme: Meaning 1.5 + remedy 0.5

Q45. [2 marks] Name the five groups of factors influencing consumer behaviour.

Consumer behaviour · **

1. Social
2. Cultural
3. Economic
4. Personal
5. Psychological

Situational factors (store layout, mood, time) are temporary influences.

Marking scheme: 5 × ⅖

Q46. [3 marks] Name and explain the four types of consumer buying behaviour.

Consumer behaviour · ***

Type	Meaning	Example
Complex	High involvement, big brand differences	Car, laptop
Dissonance-reducing	High involvement, few differences	Mattress
Habitual	Low involvement, routine	Toothpaste
Variety-seeking	Low involvement, novelty	New soft-drink flavour

Marking scheme: 4 types, ¾ each

Q47. [3 marks] Explain the factors influencing consumer behaviour (any three).

Consumer behaviour · ***

1. **Social** - reference group, family, role and status.
2. **Cultural** - culture, sub-culture, social class.
3. **Economic** - income, savings, consumer credit.
4. **Personal** - age, occupation, lifestyle.
5. **Psychological** - motivation, perception, learning, attitude.

Marking scheme: 3 factors × 1

Q48. [3 marks] Why is the study of consumer behaviour important? (any three reasons)

Consumer behaviour · ***

1. **Better marketing and communication** - preferences keep changing.
2. **Retention and loyalty** - keeping a customer is cheaper than winning a new one.
3. **Inventory planning** - balance demand and supply.
4. **Higher sales** - knowing likes and dislikes helps close sales.
5. **Competitor insight** - gaps between products.

Marking scheme: 3 × 1

Q49. [6 marks] Explain the consumer buying decision process.

Consumer behaviour · ***

Problem recognition → Information search → Evaluation of alternatives → Purchase decision → Purchase → Post-purchase evaluation

1. **Problem recognition** - gap between desired and actual state (cracked phone screen).
2. **Information search** - internal (memory) and external (friends, ads, reviews) → evoked set.
3. **Evaluation** - rank alternatives by criteria.
4. **Purchase decision** - choose product, store, method.
5. **Purchase** - may differ from the decision (availability).
6. **Post-purchase evaluation** - satisfaction or cognitive dissonance.

Not every purchase includes all six stages.

Marking scheme: Diagram 1 + 6 stages × ⅝ ≈ 5

Q50. [6 marks] Define consumer behaviour and explain the factors that influence it.

Consumer behaviour · ***

Consumer behaviour = how people select, buy, use and dispose of products.

Factor	Elements	Example
Social	Reference groups, family, role & status	Family chooses a TV
Cultural	Culture, sub-culture, social class	Festival buying
Economic	Income, savings, credit	EMI purchase
Personal	Age, occupation, lifestyle	Student buys earphones
Psychological	Motivation, perception, learning, attitude	Brand trust

Situational factors (store layout, music, mood) are temporary influences.

Marking scheme: Definition 1 + five factors × 1

Q51. [10 marks] Explain consumer behaviour: its importance, types, factors and the buying decision process.

Consumer behaviour · ***

Meaning and importance

- How people choose, buy, use and dispose of products.
- Helps segmentation, product design, pricing, branding; improves retention and loyalty; better inventory planning; competitor study.

Four types

Type	Involvement / differences	Example
Complex	High / big	Car
Dissonance-reducing	High / few	Mattress
Habitual	Low / few	Toothpaste
Variety-seeking	Low / big	Soft drink

Factors

Social, cultural, economic, personal, psychological (plus situational and digital influences).

Decision process

Problem recognition → Search → Evaluation → Decision → Purchase → Post-purchase

Example: Scrolling Instagram, seeing a shoe ad, reading reviews, abandoning the cart at checkout.

Marking scheme: Meaning/importance 2 + types 2.5 + factors 2.5 + process 2 + example 1

Q52. [2 marks] Distinguish between primary and secondary data.

Data · ***

Primary data	Secondary data
Collected first-hand for the problem at hand	Already collected by someone else for another purpose
Expensive, specific, time-consuming	Cheaper and faster, may not fit exactly
Surveys, interviews, observation	Published reports, census, sales invoices

Marking scheme: 2 differences × 1

Q53. [3 marks] Distinguish between univariate, bivariate and multivariate analysis.

Data analysis · ***

Type	Focus	Examples
Univariate	One variable - central tendency and dispersion	Mean, median, mode
Bivariate	Association between two variables	Cross-tabs, Chi-square, correlation
Multivariate	Three or more variables simultaneously	ANOVA, regression, conjoint, factor, cluster

Marking scheme: 3 × 1

Q54. [10 marks] Explain the stages of data analysis in marketing research: editing and coding, tabulation, univariate, bivariate and multivariate analysis, hypothesis testing and Pareto analysis.

Data analysis · ***

1. Data preparation

1. **Editing** - check completeness, consistency, legibility.
2. **Coding** - assign numbers/symbols; keep a codebook.
3. **Tabulation** - simple and cross-tabulation (the most common method).

2. Univariate analysis

Central tendency (mean, median, mode) and dispersion. Mean of 5, 10, 22, 25, 17 = 15.8; use the median for skewed data.

3. Hypothesis testing

- H_0 (no effect) vs H_1 (effect).
- Steps: formulate, test statistic, decision rule, accept / reject.
- Z ($n \geq 30$), t ($n < 30$), F, χ^2.

4. Bivariate analysis

Association between dependent and independent variable; Lambda and Chi-square ($\chi^2 = \Sigma(O - E)^2/E$) for nominal data; correlation for ordinal / interval.

5. Multivariate analysis

- ANOVA, ANCOVA, MANOVA
- Dependence: regression, discriminant, conjoint
- Interdependence: factor, cluster, multi-dimensional scaling

6. Pareto analysis

The 80:20 rule - the "vital few and trivial many": a small share of causes produces most results; used in quality control and ABC inventory.

Marking scheme: Preparation 2 + univariate 1.5 + hypothesis 2 + bivariate 1.5 + multivariate 1.5 + Pareto 1.5

Q55. [10 marks] Explain data collection in marketing research: sources of data, observation, questionnaire design, sampling and data processing.

Data collection · **

Data sources

Secondary (internal/external) first; primary when needed.

Observation

Structured/unstructured, disguised/undisguised, direct/indirect, human/mechanical - accurate on what people do, not why.

Questionnaire

1. Information required
2. Target respondents
3. Method
4. Content
5. Closed / open questions
6. Order
7. Closing
8. Appearance
9. Pilot test

Sampling

Probability (SRS, systematic, stratified, cluster) vs non-probability (convenience, judgment, quota, snowball); sample size depends on variability, confidence and precision.

Data processing

Editing → coding (codebook) → tabulation (simple and cross tabs).

Marking scheme: Sources 2 + observation 1.5 + questionnaire 3 + sampling 2 + processing 1.5

Q56. [3 marks] List the stages of the consumer buying decision process and explain the "evoked set".

Decision process · ***

Problem recognition → Information search → Evaluation of alternatives → Purchase decision → Purchase → Post-purchase evaluation

The **evoked set** is the group of alternatives a buyer is left with after a successful information search; the buyer then ranks them on chosen criteria.

Marking scheme: Stages 2 + evoked set 1

Q57. [2 marks] What is a Marketing Information System (MIS)?

MIS · ***

A Marketing Information System is a system that **collects, organises and uses marketing information** about sales, customers and competitors so managers can take sound decisions.

- Components: internal records, marketing intelligence, marketing research, data warehousing, information output.

Marking scheme: Definition 1.5 + components 0.5

Q58. [3 marks] Differentiate between marketing research and MIS.

MIS · ***

Marketing research	MIS
Seeks specific external information to solve a research problem	Handles internal data (orders, sales, inventory) and external data
Focuses on past information	Continuous, forward-looking system
One source of information for the MIS	Broader system that includes research

Marking scheme: 3 differences × 1

Q59. [5 marks] Explain the components of a Marketing Information System.

MIS · ***

Component	Meaning	Example (coffee chain)
Internal records	Data generated inside the firm	Loyalty app purchases
Marketing intelligence	External information on competitors and trends	Rivals' new launches
Marketing research	Systematic study of specific problems	Flavour survey
Data warehousing	Central storage of data	Cloud sales data
Information output	Reports and dashboards	Store-manager dashboard

Marking scheme: 5 components × 1

Q60. [6 marks] What is an MIS? Explain its importance and process.

MIS · ***

An MIS collects, organises and uses marketing information (Kotler: continuing structure of people, equipment and procedures to gather, sort, analyse, evaluate and distribute pertinent, timely, accurate information).

Importance

- Better decision making
- Market understanding
- Competitive edge
- Resource optimisation
- Performance measurement

Process (cyclical)

Collection → Processing → Storage → Retrieval → Dissemination

Benefits: lower cost, risk management, customer satisfaction, strategic planning.

Marking scheme: Definition 1.5 + importance 2 + process 2 + benefits 0.5

Q61. [10 marks] Explain the Marketing Information System and marketing research. How are they related?

MIS & research · ***

MIS

- Definition (Kotler).
- Components: internal records, marketing intelligence, marketing research, data warehousing, information output.
- Process: collect → process → store → retrieve → disseminate.

Marketing research process

1. Define the problem
2. Research design
3. Data types and sources
4. Data collection forms
5. Sampling
6. Collect data

7. Analyse and interpret
8. Report

Types of data and sampling

Primary / secondary; probability and non-probability sampling.

Relationship

Marketing research	MIS
Specific problems	Continuous system
External sources	Internal + external
One component of MIS	Includes research

Example: Foldable-phone launch study.

Marking scheme: MIS 3 + process 3 + data/sampling 1.5 + relationship 2.5

Q62. [2 marks] Define marketing research.

Marketing research · ***

Marketing research is the **systematic and objective study** of problems pertaining to the marketing of goods and services.

AMA (1961): "systematic gathering, recording and analysing of data relating to the marketing of goods and services."

Marking scheme: Definition 1.5 + author 0.5

Q63. [2 marks] What is test marketing?

Marketing research · **

A **small-scale launch of a product in a selected area** to find the likely acceptance before it is introduced in the wider market.

Marking scheme: Meaning 2

Q64. [3 marks] Distinguish between basic and applied research.

Marketing research · **

Basic research	Applied research
Not in response to a problem; expands knowledge	Seeks solutions to a problem at hand
No commercial potential	Has commercial implications
E.g. understanding typhoid	E.g. improving worker productivity on machine X

Marking scheme: 3 points × 1

Q65. [5 marks] Explain the steps in the marketing research process.

Marketing research · ***

1. **Define the research problem** (decision problem → research problem).
2. **Determine research design** - exploratory, descriptive, causal.
3. **Identify data types and sources** - primary / secondary.
4. **Design data collection forms** - observation or surveys with a tested questionnaire.
5. **Determine sampling design and size.**
6. **Collect the data** with supervised fieldwork.
7. **Analyse and interpret** - edit, code, tabulate; hypothesis tests.
8. **Prepare the report** - objectives, methodology, results, recommendations.

Example: Should a smartphone brand launch a foldable phone? Research problem: will target buyers accept it at

the planned price?

Marking scheme: 8 steps × ½ + example 1

Q66. [5 marks] Distinguish between exploratory, descriptive and causal research.

Marketing research · ***

Basis	Exploratory	Descriptive	Causal
Purpose	Clarify the problem, form hypotheses	Describe who, what, when, where, how	Find cause and effect
Nature	Flexible, informal	Rigid, structured	Controlled experiments
Methods	Literature, focus groups, case studies	Surveys, observation	Lab and field experiments, simulation
Data	Mostly secondary	Primary and secondary	Primary
Example	Talk to reviewers about foldable phones	Survey 1,000 owners	A/B test of two prices

Marking scheme: 5 rows × 1

Q67. [5 marks] Explain the importance of marketing research.

Marketing research · ***

1. **Understands customer needs** and preferences.
2. **Identifies market trends** and shifts in behaviour.
3. **Assesses the competitive landscape** - strengths and weaknesses.
4. **Mitigates risk** by testing feasibility before big decisions.
5. **Optimises marketing strategy** - right audience, message and channel.

Research reduces uncertainty and raises the probability and size of success; it is a tool, not a guarantee.

Marking scheme: 5 × 1

Q68. [6 marks] Define marketing research and explain its scope and types.

Marketing research · ***

Systematic and objective study of marketing problems.

Scope

- Product management - test marketing, concept testing
- Sales analysis - market potential, share, demand
- Corporate research - company image
- Advertising research - recall, readership
- Syndicated research

Types

- Primary vs secondary
- Qualitative (focus groups) vs quantitative (surveys)
- Exploratory vs conclusive
- Observational and experimental

Market research studies an industry; marketing research solves a marketing problem.

Marking scheme: Definition 1 + scope 2.5 + types 2 + distinction 0.5

Q69. [6 marks] Explain the sources of data (primary and secondary) with their merits and demerits.

Marketing research · ***

Secondary data (desk research)

- Internal: sales, finance, marketing, HR and storage data.

- External: government bodies, published and commercial sources, international agencies.
- Merits: economical, quick, sometimes more accurate (census). Demerits: may not fit, outdated, definitions differ, source bias.

Primary data

- Observation (what people do), questionnaire / survey (personal, telephonic, mail), interviews, focus groups, experiments.
- Merits: specific and current. Demerits: costly and time-consuming.

Ideal sequence: secondary first, then primary to fill the gaps.

Marking scheme: Secondary 3 + primary 2.5 + sequence 0.5

Q70. [6 marks] Explain the research report: contents and how to present it (oral vs written).

Marketing research · **

Contents

- Authorisation letter, table of contents, list of illustrations
- Executive summary, research objectives, methodology
- Results, limitations, conclusions and recommendations
- Appendices (questionnaires)

Oral vs written

Oral	Written
No visuals; audience cannot control pace	Can be re-read; charts and diagrams
Less precise	More precise and scrutinised

Oral tips: know the audience, rehearse, simple language, visual aids sparingly.

Marking scheme: Contents 2.5 + comparison 2 + tips 1.5

Q71. [6 marks] Distinguish between qualitative and quantitative research with examples.

Marketing research · **

Basis	Qualitative	Quantitative
Purpose	Explore attitudes, motives - the "why"	Measure and test hypotheses - the "how many"
Data	Non-numeric	Numeric
Sample	Few respondents	Large, random sample
Methods	Focus groups, in-depth interviews, projective techniques	Surveys, questionnaires, experiments
Analysis	Thematic / content	Statistical techniques
Generalisable?	No	Yes, to the population

Often both are used: secondary research → focus group → national survey.

Marking scheme: 6 × 1

Q72. [3 marks] Explain the four levels of measurement.

Measurement · **

1. **Nominal** - labels only (gender).
2. **Ordinal** - rank order (brand preference).
3. **Interval** - equal gaps, arbitrary zero (temperature).
4. **Ratio** - true zero, ratios meaningful (income).

Marking scheme: 4 × ¾

Q73. [6 marks] Explain the four levels of measurement with examples and suitable statistics.

Measurement · ***

Level	What it does	Example	Statistics
Nominal	Labels categories (haves / have-nots)	Gender, religion	Counts, mode, %
Ordinal	Ranks objects, no size of difference	Brand preference rank	Median, mode, %
Interval	Equal intervals, arbitrary zero	Temperature in °C	Mean, SD [extra]
Ratio	Equal intervals and true zero	Sales, income, weight	All statistics [extra]

Each higher level has all the properties of the levels below; measurement assigns numerals to characteristics, not to objects themselves.

Marking scheme: 4 levels × 1.25 + remark 1

Q74. [3 marks] Name the types of observation used in marketing research.

Observation · **

- Structured / unstructured
- Disguised / undisguised
- Natural / laboratory (contrived) setting
- Direct / indirect
- Human / mechanical (hidden cameras, audiometers)
- Participant / non-participant

Marking scheme: 6 types, ½ each

Q75. [3 marks] Distinguish between open-ended and closed questions.

Questionnaire · ***

Closed	Open-ended
Respondent picks from stated alternatives	Respondent answers in own words
Easy to analyse	Rich but harder to analyse
E.g. "Do you use Brand X? Yes / No"	E.g. "What do you like most about this product?"

Marking scheme: 3 points × 1

Q76. [5 marks] Explain the steps in developing a questionnaire.

Questionnaire · **

1. Decide the information required.
2. Define the target respondents.
3. Select the methodology to reach them (personal, group, mail, telephone).
4. Decide question content.
5. Decide type of questions - closed / open.
6. Put questions in a meaningful order and format.
7. Closing questions.
8. Physical appearance.
9. Pilot test and revise.

Marking scheme: 9 steps, ⅗ each

Q77. [2 marks] What is research design?

Research design · ***

The **blueprint for research** - the specification of methods and procedures for acquiring the information needed (Green and Tull): what information, from which sources, by what procedures.

- Types: exploratory, descriptive, causal.

Marking scheme: Meaning 1.5 + types 0.5

Q78. [3 marks] Explain exploratory, descriptive and causal research in brief.

Research design · ***

1. **Exploratory** - used when the problem is unclear; flexible; focus groups, case studies, secondary data.
2. **Descriptive** - describes who, what, when, where, how; surveys and observation; cannot show cause.
3. **Causal** - tests cause and effect through experiments.

Marking scheme: 3 × 1

Q79. [10 marks] Explain research designs, sampling methods and the levels of measurement used in marketing research.

Research design & sampling · **

Research designs

Design	Purpose	Methods
Exploratory	Clarify problem	Secondary data, focus groups, case study
Descriptive	Describe who/what/when	Surveys, observation
Causal	Cause and effect	Experiments

Sampling

- Probability: simple random, systematic, stratified, cluster/area
- Non-probability: convenience, judgment, quota, snowball

Measurement scales

- Nominal, ordinal, interval, ratio (NOIR).

Data analysis

Univariate → hypothesis testing (H_0 vs H_1; Z, t, F, χ^2) → bivariate → multivariate; Pareto 80:20.

Marking scheme: Designs 3 + sampling 3 + scales 2 + analysis 2

Q80. [2 marks] Why is defining the research problem the most important step?

Research process · ***

"A problem well defined is half-solved." The decision problem must be turned into a research problem; a poorly defined problem cannot be fixed by a good research design.

Example: Decision: launch a foldable phone? Research problem: will target buyers accept it at the planned price?

Marking scheme: Reason 1.5 + example 0.5

Q81. [2 marks] What is a questionnaire?

Research tools · **

A **data-collecting instrument containing a list of questions** to secure the desired information from respondents (by mail, phone, computer or in person). It must be tested (piloted) before use.

Marking scheme: Meaning 1.5 + pilot 0.5

Q82. [2 marks] What is a sampling frame?

Sampling · **

The **list of all eligible sampling units** from which a sample is drawn, e.g. voters' list or customer list.

Marking scheme: Meaning 1.5 + example 0.5

Q83. [3 marks] Distinguish between probability and non-probability sampling.

Sampling · **

Probability	Non-probability
Known, equal chance of selection	Selection by convenience / judgment
Representative; sampling error measurable	Representativeness unknown
SRS, systematic, stratified, cluster	Convenience, judgment, quota, snowball

Marking scheme: 3 × 1

Q84. [5 marks] Explain the probability sampling methods.

Sampling · ***

1. **Simple random** - every unit has a known, equal chance (lottery/random numbers).
2. **Systematic** - skip interval = list size ÷ sample size; random start.
3. **Stratified** - divide into homogeneous strata; sample each (proportionate / disproportionate).
4. **Cluster** - mutually exclusive clusters, each representative; **area sampling** uses geographic clusters (one-step / two-step).

Advantages: representative; sampling error can be measured.

Marking scheme: 4 methods × 1 + remark 1

Q85. [5 marks] Explain the non-probability sampling methods.

Sampling · **

1. **Convenience** - at the researcher's convenience; early stages.
2. **Judgment (purposive)** - expert selects likely participants.
3. **Quota** - pre-set quotas of demographic / behavioural groups.
4. **Snowball (referral)** - respondents refer others; for rare populations.

Used for exploratory work and pre-testing; representativeness cannot be measured.

Marking scheme: 4 × 1 + remark 1

Q86. [3 marks] State the advantages and disadvantages of secondary data.

Secondary data · ***

Advantages	Disadvantages
Economical and quick	May not fit the problem exactly
Large samples (census) can be accurate	Definitions and units may differ
Useful in exploratory stage	May be outdated or biased

Use multiple sources and cross-check.

Marking scheme: 3 + 3 points (½ each)

Unit III

Q87. [10 marks] Discuss positioning and repositioning strategies of Indian brands with at least six examples.

Indian brand cases · ***

Introduction

Positioning is a choice; repositioning is survival - brands change their story when the market, customer or competition moves on.

Positioning cases

Brand	Idea owned	Why it worked

Fevicol	Unbreakable strength	One word owned for decades
Amul	"The Taste of India"	Cooperative + topical Amul Girl ads
Parle-G	"G for Genius"	Affordable nutrition for the masses
Raymond	"The Complete Man"	Sold identity, not cloth
Nirma	"Sabki Pasand"	Price-led value when rivals went premium
OYO	Trusted budget stay	Standardised a fragmented category

Repositioning cases

Brand	Before	After
Maruti Suzuki	Mass-market car brand	NEXA premium experience (2015)
Titan	Time-telling device	Fashion accessory; Fastrack for youth
Cadbury Dairy Milk	Children's treat	"Kuch Meetha Ho Jaye" for all ages (1994)
Lifebuoy	Carbolic soap	Health and hygiene mission
Surf Excel	Functional stain removal	"Daag Achhe Hain" (values, 2010)
Airtel	Network features	Emotional youth storytelling (2010)

Lessons

- Own one clear idea.
- Reposition only with evidence; the product must support the new promise.
- Every case began with a customer insight.

Marking scheme: Intro 1 + positioning 3 + repositioning 4 + lessons 2

Asked in: Unit III assignment (AI-based) Q3

Q88. [2 marks] Name two Indian brands that are positioned on a single idea and state the idea.

Indian brands · ***

- **Fevicol** - unbreakable strength ("Fevicol ka jod hai, tootega nahi").
- **Parle-G** - "G for Genius": affordable nutrition and energy for everyone.

Marking scheme: 2 × 1

Q89. [3 marks] Explain how Cadbury Dairy Milk repositioned itself in India.

Indian brands · ***

1. **Before:** seen mainly as a children's treat; adults rarely bought it.
2. **Move (1994):** the "Kuch Meetha Ho Jaye" campaign and cricket-ground dance ad reframed it as a way to celebrate any moment.
3. **Result:** India's largest chocolate brand bought by all age groups - an **intangible repositioning** that opened a new user base.

Marking scheme: 3 × 1

Q90. [6 marks] Explain with Indian examples how brands (a) position and (b) reposition themselves.

Indian brands · ***

Positioning (owning one idea)

Brand	Positioning
Fevicol	Unbreakable strength - "Fevicol ka jod hai, tootega nahi"
Amul	"The Taste of India", everyday dairy with topical ads
Parle-G	"G for Genius" - affordable nutrition for all
Raymond	"The Complete Man" - fabric as identity

Repositioning (changing the story)

Brand	From → To

Maruti Suzuki	Mass-market car → premium NEXA experience (2015)
Titan	Time-telling device → fashion accessory; Fastrack for youth
Cadbury Dairy Milk	Children's treat → "Kuch Meetha Ho Jaye" for all ages
Lifebuoy	Carbolic soap → health and hygiene mission
Surf Excel	"Removes stains" → "Daag Achhe Hain" (values)
Airtel	Network features → emotional "Har Ek Friend Zaroori Hai"

Marking scheme: Positioning 3 + repositioning 3

Asked in: Unit III assignment (AI-based) Q3

Q91. [2 marks] What is positioning? What is repositioning?

Positioning · ***

Positioning is designing the offering and image to occupy a distinctive place in the **mind of the target market** relative to competitors.

Repositioning is deliberately changing that perception, with or without changing the product.

Marking scheme: Each 1

Asked in: Unit III assignment (AI-based) Q3

Q92. [2 marks] What is a perceptual map?

Positioning · **

A diagram plotting competing brands on **two attributes that matter to buyers** (e.g. price and quality) to show crowded positions and the **white space** where a new brand or repositioning can fit.

Marking scheme: Meaning 1.5 + use 0.5

Q93. [3 marks] Explain any three bases of positioning with examples.

Positioning · ***

1. **Attribute** - Volvo: crash safety.
2. **Benefit** - Sensodyne: relief from sensitivity.
3. **Use** / **occasion** - Gatorade: post-workout.
4. **User** - Johnson's: baby-safe care.
5. **Competitor** - Avis "We try harder".
6. **Category** - Red Bull.
7. **Quality** / **price** - Zara.

Marking scheme: 3 × 1

Asked in: Unit III assignment (AI-based) Q3

Q94. [3 marks] What are the four approaches to repositioning?

Positioning · ***

Approach	Product	Audience	Example
Image	Same	New perception	Old Spice
Product	Improved	Same	Domino's
Intangible	Same	New segment	Cadbury Dairy Milk
Tangible	New	New	Highest risk, highest reward

Marking scheme: 4 × ¾

Q95. [5 marks] Distinguish between positioning and repositioning.

Positioning · ***

Basis	Positioning	Repositioning
When used	New brand or product entering a market	Existing brand facing decline or market shift
Goal	Establish a clear distinct place in the mind	Change or refresh existing perception
Starting point	Blank slate	Must overcome existing, often outdated, perception
Risk	Lower	Higher - old associations resurface
Product change	Not required	May or may not be required
Example	FedEx (1970s)	Old Spice (2010)

Marking scheme: 5 × 1

Asked in: Unit III assignment (AI-based) Q3

Q96. [6 marks] What is positioning? Explain its bases and the approaches to repositioning with Indian examples.

Positioning · ***

Positioning = owning a distinct place in the customer's mind relative to competitors. Ries & Trout: "what you do to the mind of the prospect."

Bases

- Attribute (Volvo: safety)
- Benefit (Sensodyne)
- Use/occasion (Gatorade)
- User (Johnson's)
- Competitor (Avis)
- Category (Red Bull)
- Quality/price (Zara)

Repositioning approaches

Approach	Example
Image	Old Spice (2010)
Product	Domino's recipe change
Intangible (new user base)	Cadbury Dairy Milk "Kuch Meetha Ho Jaye"
Tangible	Maruti NEXA premium retail (2015)

Other Indian cases: Fevicol, Amul, Titan/Fastrack, Lifebuoy, Surf Excel "Daag Achhe Hain".

Marking scheme: Meaning 1 + bases 2 + approaches 2 + examples 1

Asked in: Unit III assignment (AI-based) Q3

Q97. [10 marks] Explain positioning and repositioning: meaning, bases, positioning statement, perceptual mapping, repositioning triggers and approaches with cases.

Positioning & repositioning · ***

Meaning

Occupying a distinct place in the customer's mind; positioning is about perception, relative to competitors, and a deliberate strategic choice.

Seven bases

- Attribute, benefit, use/occasion, user, competitor, category, quality/price

Positioning statement

```
For [segment] who [need], [Brand] is a [category] that [benefit], unlike
[competitor], because [reason to believe].
```

Perceptual map

Price vs quality map reveals white space.

Repositioning

- Triggers: sales decline, shifting values, new competitors, image out of sync.
- Approaches: image, product, intangible, tangible.

Case	Move	Lesson
Old Spice (2010)	New comic voice	Tone alone can revive a brand
Domino's (2009)	New recipe + honesty	Product must change first
Cadbury Dairy Milk	Adults and all occasions	New user base unlocks growth

Indian cases: Fevicol, Amul, Titan, Lifebuoy, Maruti NEXA.

Marking scheme: Meaning 1 + bases 1.5 + statement 1.5 + map 1 + repositioning 3 + cases 2

Asked in: Unit III assignment (AI-based) Q3

Q98. [3 marks] What is STP? Explain in brief.

STP · ***

Step	Meaning	Question
Segmentation	Divide the total market into homogeneous groups	Who are the groups?
Targeting	Choose which segment(s) to serve	Whom should we serve?
Positioning	Build a distinct place in the customer's mind	How should we be seen?

The marketing mix (4Ps) is then designed for the chosen target.

Marking scheme: 3 × 1

Q99. [10 marks] Explain the STP process: segmentation (bases and benefits), targeting (strategies) and positioning (bases and repositioning).

STP · ***

Segmentation

Dividing the market into homogeneous groups (Kotler).

Base	Question	Examples
Geographic	Where?	Climate, region, urban/ rural
Demographic	What?	Age, gender, income
Psychographic	Who?	Lifestyle, personality
Behavioural	How?	Benefits, usage, loyalty

- Benefits: right target choice, better marketing mix, efficient effort, small firms can compete.

Targeting

- Undifferentiated (salt), differentiated (Titan), concentrated (Rolls-Royce), micromarketing (Netflix).
- Criteria: measurable, accessible, substantial, differentiable, actionable.

Positioning

- Bases: attribute, benefit, use, user, competitor, category, quality/price.
- Repositioning: image, product, intangible, tangible.

Example: Maruti NEXA, Cadbury "Kuch Meetha Ho Jaye", Fevicol.

Marking scheme: Segmentation 4 + targeting 3 + positioning 3

Q100. [2 marks] Define market segmentation.

Segmentation · ***

Kotler: sub-dividing of customers into **homogeneous sub-sets**, where any sub-set may conceivably be selected as a market target to be reached with a **distinct marketing mix**.

Marking scheme: Definition 2

Asked in: Unit III assignment (AI-based) Q1

Q101. [3 marks] Explain any three bases of market segmentation.

Segmentation · ***

Base	Variables	Example
Geographic	Region, climate, urban/rural	Metro vs rural pricing
Demographic	Age, gender, income	HCL below ₹10,000 income PCs
Psychographic	Lifestyle, personality	Titan watches
Behavioural	Benefits sought, usage rate, loyalty	Johnson's loyalty

Marking scheme: 3 bases × 1

Asked in: Unit III assignment (AI-based) Q1

Q102. [5 marks] Explain the benefits of market segmentation.

Segmentation · ***

1. Distinguishes one customer group from another.
2. Helps choose the right target market.
3. Allows the marketing mix to match customer expectations precisely.
4. Small firms with limited resources can compete efficiently.
5. Makes marketing effort more efficient (divide and conquer).
6. Explains customer needs and preferences better.

Link: STP = Segmentation → Targeting → Positioning.

Marking scheme: 5 benefits × 1

Q103. [6 marks] Explain the bases of market segmentation with examples and state its benefits.

Segmentation · ***

Base	Variables	Example
Geographic	Climate, region, country, urban / rural	Metro vs rural pricing
Demographic	Age, gender, income, occupation, family size, education	HCL: below ₹10,000 income group → 14.5% share
Psychographic	Lifestyle, personality, values, attitude	Titan, Cafe Coffee Day
Behavioural	Benefits sought, usage rate, loyalty, occasion	Johnson's; Cadbury for occasions

Benefits

- Distinguishes one customer group from another
- Facilitates choice of target market and efficient effort
- Marketing mix matches customer expectations
- Small firms with limited resources compete better

Marking scheme: Bases 4 + benefits 2

Asked in: Unit III assignment (AI-based) Q1

Q104. [2 marks] What is niche (concentrated) marketing?

Targeting · **

Going after a **large share of one or a few small segments** instead of a small share of a large market, allowing deep specialisation.

Example: Rolls-Royce in ultra-luxury cars.

Marking scheme: Meaning 1.5 + example 0.5

Q105. [3 marks] State the criteria for effective targeting.

Targeting · ***

1. **Measurable** - size and purchasing power can be estimated.
2. **Accessible** - can be reached and served.
3. **Substantial** - large and profitable enough.
4. **Differentiable** - responds differently to different mixes.
5. **Actionable** - programmes can be designed and executed.

Marking scheme: 5 criteria, ⅗ each

Q106. [5 marks] Explain the criteria for effective targeting.

Targeting · ***

Criterion	Meaning
Measurable	Size, purchasing power and profile can be estimated
Accessible	Can be reached and served through distribution and promotion
Substantial	Large and profitable enough for a dedicated programme
Differentiable	Responds differently to different marketing mixes
Actionable	Effective programmes can be designed and executed

Example: Amul targets household, premium and youth segments with separate offers.

Marking scheme: 5 × 1

Q107. [6 marks] What is market targeting? Explain the targeting strategies with examples.

Targeting · ***

Targeting is evaluating segments and selecting one or more to enter - the bridge between segmentation and positioning.

Strategy	Meaning	Example
Undifferentiated	One offer for the whole market	Salt, Coca-Cola classic
Differentiated	Separate offers for several segments	Titan / Fastrack / Sonata; Amul
Concentrated (niche)	Large share of one small segment	Rolls-Royce, Rolex
Micromarketing	Local or individual level	Netflix, "Share a Coke"

Criteria: measurable, accessible, substantial, differentiable, actionable.

Marking scheme: Meaning 1 + 4 strategies × 1 + criteria 1

Asked in: Unit III assignment (AI-based) Q2

Q108. [2 marks] What is a value proposition?

Value proposition · ***

A short statement that explains **what benefit** a product gives, **what problem** it solves and **why the customer should choose it** over competitors.

```
For [customer] who [problem], our [product] gives [benefit], unlike [others].
```

Marking scheme: Definition 1.5 + formula 0.5

Asked in: Unit III assignment (AI-based) Q4

Q109. [3 marks] State the types of value propositions with one example each (any three).

Value proposition · **

1. **Low pricing** - Jio.
2. **Customisation** - Nike By You.
3. **Convenience** - Swiggy.
4. **Uniqueness** - Apple "Think Different".
5. **Innovation** - Tesla.
6. **Customer results** - Uber, Slack.
7. **Quality** - Tata.

Marking scheme: 3 × 1

Q110. [3 marks] How do you write a value proposition? (steps)

Value proposition · ***

1. Determine the ideal customer profile.
2. Identify the main pain point.
3. Show how the product solves it.
4. Craft a clear message.
5. Test it (A/B testing).
6. Refine and align across touchpoints.

Marking scheme: 6 steps, ½ each

Asked in: Unit III assignment (AI-based) Q4

Q111. [6 marks] What is a value proposition? Explain its types and how to write one.

Value proposition · ***

A statement of the benefit and the problem solved, and why customers should choose you.

Type	Example
Low pricing	Jio
Quality	Tata
Customisation	Nike By You
Convenience	Swiggy
Uniqueness	Apple
Innovation	Tesla
Customer results	Uber, Slack, Duolingo

How to write

1. Know your ideal customer (ICP)
2. Find the pain point
3. Show how you solve it
4. Craft a clear message
5. Test it (A/B)
6. Refine and align across touchpoints

Marking scheme: Meaning 1 + types 3 + steps 2

Asked in: Unit III assignment (AI-based) Q4

Q112. [10 marks] What is a value proposition? Explain its types, how to write one, the keys to a good one and the difference between brand and product value propositions.

Value proposition · ***

Meaning

A statement explaining what benefit a product gives, what problem it solves and why customers should choose it over competitors. Formula: Problem → Solution → Benefit → Why us.

Seven types

Type	Example
Low pricing	Jio - free calls and cheap data
Quality	Tata - a name families trust
Customisation	Nike By You
Convenience	Swiggy
Uniqueness	Apple "Think Different"
Innovation	Tesla
Customer results	Uber, Slack, Duolingo

Steps to write

1. Ideal customer profile
2. Pain point
3. How you solve it
4. Message
5. Test (A/B)
6. Refine and align

Keys to success

- Focus on needs
- Keep it simple
- Show your edge
- Test and refine
- Get personal

Brand vs product

Brand VP	Product VP
Why the company exists; consistent across touchpoints	Why one item is worth buying; tactical
Nike: inspire every athlete	Running shoe: light and soft for long runs

Example: For hungry students who hate queues, our Pre-Order Canteen serves hot food in 5 minutes.

Marking scheme: Meaning 1.5 + types 3 + steps 2 + keys 1 + brand/product 1.5 + example 1

Asked in: Unit III assignment (AI-based) Q4